

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.,
COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

**CMI DISTRIBUTION INC.'S MOTION TO ADJUST BRIEFING SCHEDULE TO
PERMIT TAKING OF DEPOSITION OF WITNESS RELIED UPON BY SBA**

CMI Distribution, Inc. ("CMI") hereby moves to adjust the Briefing Schedule in this matter in order to permit the taking of the deposition of Justin Jalowiecki, a former employee of CMI, whose sworn statement SBA has submitted in its May 2, 2018 Submission.

Mr. Jalowiecki, who was a warehouse manager at CMI, was terminated from his employment on December 16, 2015. CMI terminated Mr. Jalowiecki due to his insubordination, refusal to work and general poor attitude and work habits. Mr. Jalowiecki did not handle his termination well. CMI did not remain in contact with Mr. Jalowiecki after his termination and was unaware of his location.

The Presiding Judge entered a Scheduling Order which provided that fact discovery was to close on February 5, 2018. On February 14, 2018, nine days after fact discovery was to have been completed, SBA submitted a First Supplemental Disclosure that identified Jay Jalowiecki as a potential witness. *See* First Supplemental Disclosure attached as Exhibit A. The First Supplemental Disclosure did not provide an address for Mr. Jalowiecki but instead only provided

a phone number. Counsel for CMI attempted to call Mr. Jalowiecki on numerous occasions but the phone calls were never answered and no responses were left to messages that were left for him.

In its recent submission to the Court on May 2, 2018, CMI submitted a sworn Declaration of Mr. Jalowiecki. In it, Mr. Jalowiecki asserts that SBA did not hold itself out to CMI as an NVOCC and did not issue any bills of lading to CMI.

CMI requests the opportunity to depose Mr. Jalowiecki to determine the veracity of these statements. Allowing CMI such an opportunity would be appropriate given that the purpose of Rule 26 disclosure requirements is to “prevent the ‘sandbagging’ of a party with new evidence at trial or on a motion.” *Lujan v. Cabana Management, Inc.* 284 F.R.D. 50, 68 (E.D.N.Y. 2012). Such an opportunity is particularly appropriate here, given that on previous occasions, SBA has submitted sworn statements from witnesses, which statements were admitted to be false in deposition. *See* Deposition of Ed Zasada at 33:24-34:16, Exhibit B.

The relief sought is also appropriate because it would not inordinately delay resolution of this matter. CMI is prepared to seek to take Mr. Jalowiecki’s deposition as quickly as possible. CMI is also prepared to file its Reply Brief within two weeks of the taking of Mr. Jalowiecki’s deposition.

Accordingly, CMI requests that it be given the opportunity to depose Mr. Jalowiecki and that it be given two weeks after the completion of that deposition to file its Reply Brief in this proceeding.¹

Dated: May 3, 2018

By: Brendan Collins
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¹ Counsel for CMI and SBA met and conferred regarding the Motion and SBA will not consent to the relief sought.

CERTIFICATE OF SERVICE

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressee at the address stated by electronic transmission, this 3rd day of May 2018:

Steven W. Block
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Attorney for Respondents Service By Air, Inc. and Radiant Customs Services Inc.



Brendan Collins

EXHIBIT A

BEFORE THE
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RESPONDENTS.

FIRST SUPPLEMENTED INITIAL DISCLOSURES
OF RESPONDENTS SERVICE BY AIR, INC. AND
RADIANT CUSTOMS SERVICES INC.

Respondents Service By Air, Inc. and Radiant Customs Services Inc. (collectively, "Radiant") submit their FRCP 26(a)(1) Initial Disclosures as follows:

A. *Potential Witnesses*

Radiant identifies the following individuals as likely to have discoverable information that Radiant may use to support its defenses in this action.

- 1) Paul Kwiatkowski; Vice President, Risk Management; Radiant; c/o Steven W. Block; Foster Pepper, PLLC, 1111 Third Avenue; 30th floor; Seattle, WA 98101; (206) 447-7273. Mr. Kwiatkowski has knowledge about Complainant's claims against Radiant and Radiant's defenses thereto.
- 2) Scott Stoppa; Vice President, CHB; SBA Global Logistics; c/o Steven W. Block; Foster Pepper, PLLC, 1111 Third Avenue; 30th floor; Seattle, WA 98101; (206) 447-7273. Mr. Stoppa has knowledge about documentation of shipments at issue demonstrating that Service by Air did not operate as an NVOCC in its transactions with Complainant.
- 3) Bryan Tincher; International Manager; SBA Global Logistics; c/o Steven W. Block; Foster Pepper, PLLC, 1111 Third Avenue; 30th floor; Seattle, WA 98101; (206) 447-7273. Mr. Tincher has knowledge about all aspects of the transactions between the parties.
- 4) Edward Zasada; Regional Manager; Service by Air, Inc.; c/o Steven W. Block; Foster Pepper, PLLC, 1111 Third Avenue; 30th floor; Seattle, WA 98101; (206) 447-7273. Mr. Zasada has knowledge about all aspects of the transactions between the parties.
- 5) "Vito"; Freight Tech Cartage, Inc.; 475 Weston Ridge Drive; Naperville, IL 60563; (847) 258-3113. Vito has knowledge about the demurrage charges Freight Tech Cartage invoiced Service by Air.
- 6) Sue Massey; accounting department; Freight Tech Cartage, Inc.; 475 Weston Ridge Drive; Naperville, IL 60563; (847) 258-3113. Ms. Massey has knowledge about the demurrage charges Freight Tech Cartage invoiced Service by Air.

7) CMI employees identified in Complainant's Initial Disclosures, who have knowledge about CMI's failure and refusal to retrieve CMI's cargo, and the demurrage charges that resulted, as well as other aspects of the parties' transactions.

8) Unidentified individuals employed by Chinese freight forwarders which served as carriers of record for the cargo at issue.

9) Jay Jalowiecki; former employee of CMI; (847) 219-7387. Mr. Jalowiecki has knowledge about his communications with SBA while he was employed with CMI, his understanding of the role SBA played in its transactions with CMI; and other facts pertinent to CMI's claims herein.

B. Categories of Documents in Radiant's Possession, Custody, or Control that may be used to Support this Lawsuit

Bills of lading issued by NVOCCs and VOCCs

Emails between parties

Invoices issued by third-party service providers and by Service by Air

Customs forms 3461

C. Computation of Damages

Not applicable.

D. Insurance agreements

Not applicable.

Radiant is continuing its investigation into the facts surrounding the issues raised by this litigation, and accordingly reserves and asserts the right to amend this initial disclosure upon discovery of any additional documents or witnesses with information bearing on these issues.

DATED this 14th day of February, 2018



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Attorney for Respondents

CERTIFICATE OF SERVICE

The undersigned certifies under penalty of perjury under the laws of the State of Washington that I am now and at all times herein mentioned, a resident of the State of Washington, over the age of eighteen years, not a party to or interested in the above-entitled action, and competent to be a witness herein.

On the date given below, I caused to be delivered upon the designated party below in the manner indicated, true and correct copies of the following documents:

- **First Supplemented Initial Disclosures of Respondents Service By Air, Inc. and Radiant Customs Services Inc.**

David Street
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Attorneys for CMI Distribution, Inc.

- ☒ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

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- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 14th day of February, 2018.

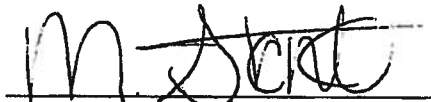

Michelle Stark

EXHIBIT B

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1 She said "Give me a fixed number and do not deviate 2 from that." So I said "But, Maria, if it cost us 3 \$325 a day?" She said "Make sure you cover 4 yourself, Ed. Charge me that same fixed rate and 5 you must stick to it." 6 Q When was this conversation? 7 A It would have been probably midway through 8 I would say early '15. 9 Q Do you know whether the \$300 a day that 10 you were charging in demurrage was in any way 11 reflected in a tariff that was on file or 12 published? 13 A No. 14 Q Now, it's my understanding that at some 15 point -- not just at the end, but at some point 16 demurrage payments assessed or sought by SBA piled 17 up, and SBA took the position that it would not 18 release containers even if the supplier had 19 provided a telex release to SBA; is that right? 20 A Correct. 21 Q And for those containers there were no 22 charges outstanding for those -- related to those 23 containers were there? 24 A I have to check the records, but probably Page 30	1 know, Service By Air started as an air freight 2 company. We decided to add on ocean services 3 halfway through my time so far. 4 Arnie came from -- it's called Helm's. 5 It's a very large ocean forwarding company. So I 6 was relying on his expertise. 7 Q Is he still with the company? 8 A Yes, he is. 9 Q He's not a lawyer is he? 10 A Not to my knowledge. 11 Q Do you know whether he got any legal 12 advice to whether he was able to do that or not? 13 A No. 14 Q Is Arnie a pretty aggressive guy? 15 A I don't know. I don't really know him 16 that well. We met once. 17 Q Did you ever cut any checks directly to 18 the steamship lines in this case? 19 A No. 20 Q Do you know the identity of any of the 21 steamship lines that were supposedly going to 22 exercise liens or refuse to release cargo in this 23 case? 24 A No. Page 32
1 not. 2 Q So did you make any inquiry whether you 3 were legally authorized to refuse to release 4 containers in your possession which the supplier 5 had been paid and which you were not owed any money 6 on? 7 A Yes. 8 Q Who did you inquire with? 9 A Our Chief Operating Officer Arnie 10 Goldstein. 11 Q Okay. And what did he tell you? 12 A I asked him "Can you do that? I mean, 13 you're going to hold onto these containers that are 14 released until we get payment on these?" And he 15 said "Yes". 16 Q And did you have any further discussions 17 with him in that regard? 18 A Nothing that was different than that. No. 19 Q And it sounded -- the way you -- 20 It's not captured on, you know, the 21 paper, but you sounded like "Can you do that?" Not 22 just merely "Can you do that?" But you sounded 23 surprised? 24 A My experience with ocean was limited. You Page 31	1 (Whereupon Exhibit No. 30 2 was marked. Said document 3 was tendered.) 4 BY MR. COLLINS: 5 Q This is your Affidavit. What we've marked 6 as Exhibit 30, that's your Affidavit; is that 7 correct? 8 A Yes. 9 Q In paragraph 10 -- well, actually, in 10 paragraph 9, you say "SBA made no representation to 11 CMI that any of the demurrage it was collecting 12 originally was charged by a steamship line." 13 That's not accurate is it? 14 (Witness reviewing.) 15 A I would not have known of any statement 16 saying that. So from my perspective I would stick 17 to that sentence. 18 Q Well, you wrote some of the e-mails that 19 said the steamship line is demanding payment. 20 A Going back to the colloquial use of the 21 word "steamship line" to help Maria understand. 22 Instead of using the word "co-loader", she would 23 not be able to understand that. 24 Q But I'm saying, you're saying you made no Page 33

9 (Pages 30 to 33)

30(b)(6): Edward Zasada
March 1, 2018

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1 representation to CMI that any of its demurrage it 2 was collecting originally was charged by a -- you 3 did say it was charged by a steamship line didn't 4 you? 5 A I see the conflict. Yeah. 6 Q So that's an incorrect statement? 7 A Yes. 8 Q And then the next statement, the last 9 sentence of paragraph 10: "No VOCC demurrage was 10 ever charged or collected." 11 I believe we've established, you know, 12 that the actual demurrage was the steamship line 13 demurrage that was being collected, right? 14 A Yes. 15 Q So that's inaccurate? 16 A That is inaccurate. 17 Q And then in looking at paragraph 11, and 18 it says "SBA" -- I'm sorry. Give me one second. 19 (Pause.) 20 That's all I have on that one. And 21 then just one other document. We used it before. 22 The Document Request Responses. I think it was... 23 MR. BLOCK: Number 26? 24 MR. COLLINS: It might be. Page 34	1 transportation services", was unclear and required 2 further definition. 3 BY MR. COLLINS: 4 Q Well, do you remember that there was 5 actually a definition provided of what ocean 6 transportation -- excuse me -- of what 7 transportation services were? 8 A I don't. 9 Q Okay. Looking at -- skipping ahead to 10 Interrogatory No. 31 on page 14, that runs over to 11 15. 12 For asking for the amount that SBA 13 "charged CMI for demurrage, detention, per diem, or 14 storage in excess of what SBA was billed by third 15 parties." 16 Do you see that? 17 A Would it be Interrogatory 30? 18 Q It's Interrogatory 31 actually. 19 A 31. 20 (Witness reviewing.) 21 Okay. 22 Q And you see your answer there? 23 (Witness reviewing.) 24 I think you're saying that you can't Page 36
1 THE WITNESS: This one (indicating)? 2 MR. COLLINS: Yes. 3 BY MR. COLLINS: 4 Q All right. These are SBA's Responses to 5 our First Interrogatories and Request For 6 Production of Documents. 7 Have you ever seen this document 8 before? 9 (Witness reviewing.) 10 A Yes, I have. 11 Q Did you help in providing these answers? 12 A Yes. 13 Q Okay. Looking at Interrogatory No. 4, it 14 says: "Identify all shipments for which SBA 15 provided transportation services on behalf of CMI 16 from 2013 to the present. For each shipment 17 identified specify the transportation services 18 provided by SBA," and the answer is "None"? 19 MR. BLOCK: Objection. That's not the 20 final response. That's supplemented. 21 MR. COLLINS: I understand. But let me 22 ask you: Is that accurate? 23 (Witness reviewing.) 24 The way it's written, "provided Page 35	1 determine how much your markup was? 2 A Restate your question, please? 3 Q I think what you're saying here is that 4 you can't tell us what the markup was for 5 detention, demurrage, and per diem or storage for 6 the service you provided for CMI; is that right? 7 A We could take the amount billed minus all 8 charges and fees that were charged to us to 9 determine what I get. 10 Q But you haven't done that? 11 A The reports that I run would tell me that. 12 They would show me all costs and then show what we 13 billed and show the profit. 14 Q Okay. 15 A And that's where the number 20 percent 16 comes from. 17 Q But I think, and correct me if I'm wrong, 18 but I think we touched on it. But I think when 19 you're using the 20 percent, you're not limiting it 20 to the demurrage, detention, per diem, or storage 21 are you? You're actually including freight? 22 A Yes. 23 Q Can you back out the freight and tell us 24 what the markup is for each shipment? Page 37

10 (Pages 34 to 37)